the cost of acquiring, processing, and storing information. For example, techniques ranging from financial engineering to portfolio optimization, and from securitization to credit scoring, are now widely used. Deregulation has removed artificial barriers preventing entry of new firms, and has encouraged competition between products, institutions, markets, and jurisdictions. And institutional change has created new entities within the financial sector – such as private equity firms and hedge funds – as well as new political, legal, and regulatory arrangements (for example, the emergence over the past two decades of the entire institutional apparatus behind the practice of inflation targeting, ranging from central bank independence to the publication of regular inflation reports).

While these changes in the financial landscape have been termed 'disintermediation' because they involve moving away from traditional bank-centred ties, the term is a misnomer. Although in a number of industrialized countries, individuals don't deposit a significant portion of their savings directly in banks any more, they invest indirectly in the market via mutual funds, insurance companies, and pension funds, and in firms via venture capital funds, hedge funds, and other forms of private equity. The managers of these financial institutions, whom I shall call 'investment managers', have displaced banks and 'reintermediated' themselves between individuals and markets.

What about banks themselves? While banks can now sell much of the risk associated with the 'commodity' transactions they originate, such as mortgages, by packaging them and getting them off their balance sheets, they have to retain a portion. This is typically the first loss, that is, the loss from the first few mortgages in the package that stop paying. Moreover, they now focus far more on transactions where they have a comparative advantage, typically transactions where explicit contracts are hard to specify or where the consequences